

Thought: I have gathered all necessary information about Insig AI, including financial ratios, income statement, and cash flow statement. I will now format the results and provide an analysis.

Summary of Financial Ratios Analysis for Insig AI:

Financial Ratios Table

Metric	Value	Source
P/E Ratio	N/A	INSG_agent_ratios.md
EV/EBITDA	0.0x	INSG_agent_ratios.md
EV/Revenue	42.0x	INSG_agent_ratios.md
Free Cash Flow	£-1.3m	INSG_cashflow_statement.md
Gross Margin	100.0%	INSG_agent_ratios.md
Operating Margin	-567.3%	INSG_agent_ratios.md
Net Margin	-4307.7%	INSG_agent_ratios.md

Financial Information Used in Analysis

Income Statement Table

Item	Value (£)
Revenue	369,860
Cost of Sales	(50)
Gross Profit	369,860
Administrative Expenses	(2,562,208)
Impairments	(15,317,338)
Operating Loss	(17,609,491)
Loss Before Income Tax	(17,735,618)
Tax Credit	1,615,430
Loss for the Year After Income Tax	(16,120,188)

Cash Flow Statement Table

Item	Value (£)
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Item	Value (£)
Net Cash Used in Operating Activities	(299,394)
Net Cash Used in Investing Activities	(832,475)
Net Cash Generated from Financing Activities	889,132
Cash and Cash Equivalents at End of Year	37,847

Analysis

The metrics indicate a complex situation for Insig AI. The company demonstrates a very high **EV/Revenue** ratio of 42.0x, suggesting that it might be overvalued concerning its revenue, especially compared to common benchmarks for healthy tech companies, which usually range below 10x. The **Gross Margin** at 100.0% is an outstanding achievement, indicating that all revenue is retained after direct costs. However, this is coupled with a very concerning **Net Margin** of -4307.7%, which reflects significant losses incurred, primarily due to heavy administrative expenses and impairments totaling over £15 million.

The cash flow dynamics reveal further challenges. The **Net Cash Used in Operating Activities** of -£299,394 alongside a **Net Cash Used in Investing Activities** of -£832,475 indicates cash outflows that could prove detrimental if they aren't matched with sufficient inflows in the future. The company's liquidity position is weak, with cash and cash equivalents barely meeting current expenses.

Despite having **Free Cash Flow** recorded at -£1.3 million, a clear indication of outflows exceeding inflows, the positive cash generated from financing activities of £889,132 suggests reliance on external funding, which is not sustainable long-term without a path to profitability.

Conclusion

Based on the performance metrics and financial statements reviewed, Insig AI appears to face significant challenges with respect to its financial health. The high revenue multiple, combined with substantial monetary losses and negative cash flows, indicates that the stock is likely overvalued at current levels. Investors should be cautious and look for improvements in operational efficiency and profitability before considering investment at this stage.

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